UNIT 6

RETIREMENT AND DEATH OF A PARTNER

Contents

Retirement of a partner

6.1 Introduction

6.2 Adjustments required on retirement of a partner

6.3 Distribution of accumulated profits, reserves and losses

6.4 Revaluation of assets and liabilities

6.5 Determination of new profit sharing ratio and gaining ratio

6.6 Adjustment for goodwill

6.7 Adjustment for current year's profit or loss upto the date of retirement

6.8 Settlement of the amount due to the retiring partner

Death of a partner

6.9 Adjustments required on the death of a partner

Points to recall

The following points are to be recalled before learning retirement and death of a partner:

- Meaning and features of partnership firm
- Partnership deed
- Partners' capital accounts
- Valuation of goodwill

Learning objectives

To enable the students to

- Understand the accounting treatment at the time of retirement and death of a partner.
- Prepare the partnership accounts on retirement and death of a partner.

Key terms to know

- Retirement of a partner
- Gaining ratio
- Executor's account

C6SYHN

12th-Accountancy-Unit-06.indd 183 1/4/2020 12:03:59 PM